

performance with respect to its own past, is a more direct way of looking at and utilizing market trends to determine price continuation.

Trend determination through absolute momentum can help one navigate downside risk, take advantage of regime persistence, and achieve higher risk-adjusted returns. Absolute momentum, as used here, is a simple rule-based approach that is easy to implement. One needs only to see if returns relative to Treasury bills have been up or down for the preceding year.

We have seen on 39 years of past data how 12-month absolute momentum can help improve the reward-to-risk characteristics of a broad range of investments. Absolute momentum has considerable value as a tactical overlay to multiasset portfolios, where it has many potential uses. A risk parity portfolio using absolute momentum, due to its modest correlation to traditional investments, such as stocks and bonds, could function either as a core holding or as an alternative asset holding.

Absolute momentum can enhance the expected return and reduce the expected drawdown of core portfolios, as we have shown in this paper. It can help investors with basic stock/bond allocations, such as a 60/40 balanced mix, meet their investment objectives without resorting to excessively large allocations to fixed income that could subject them to substantial interest rate risk. We have seen, in fact, that applying absolute momentum to a stock-only portfolio may reduce or eliminate the need for fixed income as a portfolio diversifier. Investors using absolute momentum can also reduce or eliminate leverage, the selection of riskier assets like hedge funds and private placements, and data-snooping based portfolio constructs that rely on nonstationary and estimation risk-prone correlations and covariances.

There are other potential uses as well for absolute momentum. Simple absolute momentum can be a more cost-effective alternative to managed futures (Hurst, Ooi, and Pedersen 2014). It can also be an attractive alternative to option overwriting by retaining more of the potential for upside appreciation while at the same time providing greater downside protection. Absolute momentum can likewise be an attractive alternative to costly tail-risk hedging. It can reduce the need for aggressive diversification with marginal assets having lower expected returns. If one wishes to achieve higher returns by using riskier assets or by leveraging a portfolio, then 12-month absolute momentum can make that more viable by truncating expected drawdown.